Corporate income tax and minimum taxes

Central Europe and the Baltics compared with Colombia

How much tax does the same company pay in nine countries, and what happens when it makes a loss?

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Pontificia Universidad Javeriana Cali
Taxation course, Prof. Liliana Heredia
Cali, 10 November 2026

Lecture app

javeriana-impuestos.vercel.app

Two hours, two halves

First we calculate together, then you calculate on your own

9:00

Part 1 · Taxing profit — Quiz round 1

Part 2 · Taxing distributions — Quiz round 2

Part 3 · When the company makes a loss — Quiz round 3 and the winner

10:00

Book the year, compute the tax in Colombia and Slovakia, compare nine countries — Feedback for the whole session

11:00 · Professor Heredia

Slido

Quizzes and feedback: join now

App, English and Spanish

Laptop works best for the practice

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Where I come from

Slovakia and its neighbours: seven countries, seven ways to tax a company



Map: Natural Earth. Exchange rate: Portafolio, 20.10.2026.

- **5.4 million people**

  About one tenth of Colombia's population

- **EU since 2004, euro since 2009**

  Planned economy until 1989; independent since 1993

- **1 EUR ≈ 3,550 COP**

  Exchange rate used in all examples (October 2026)

- **Why these countries?**

  Neighbours with very different designs, and open financial-statement data for every company in Slovakia, Estonia and Latvia (dark on the map)

One company, nine countries

Company A: the case we follow through the whole lecture

COMPANY A · TRADING COMPANY · 2026

Revenue	**EUR 800,000** ≈ COP 2,840 M
Accounting profit before tax	**EUR 60,000** ≈ COP 213 M
Non-business expenses (the manager's private trip paid by the company)	**EUR 5,000** ≈ COP 17.8 M
Net dividend paid to shareholders	**EUR 30,000** ≈ COP 106.5 M

Rules of the game

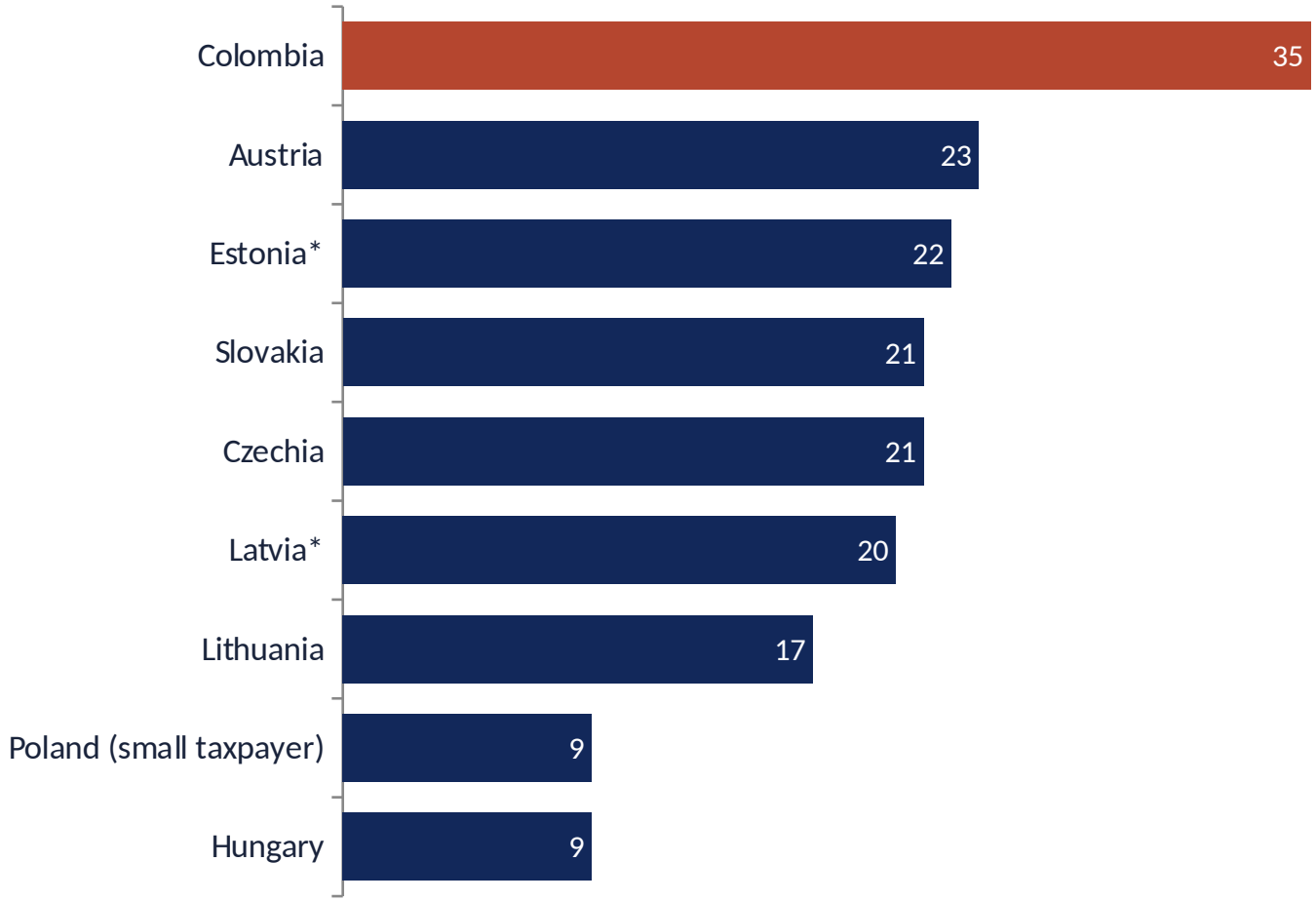
- The same tax base everywhere: profit + non-deductible expenses = EUR 65,000
- Only the tax paid by the company; the shareholders' tax on dividends is left out
- Rules in force in 2026; no prior losses, no local taxes

Your guess

Where does Company A pay the most tax, and where the least?

The rate that applies to Company A, 2026

From 9 % to 35 %: Colombia taxes company profit far more than its European peers



How to read it

* Estonia and Latvia tax only distributed profit: 22/78 and 20/80 of the net amount.

Slovakia: 10 % up to EUR 100,000 of revenue, 21 % up to EUR 5 million, 24 % above.

Poland: 19 %, or 9 % for small taxpayers (revenue up to EUR 2 million).

Lithuania: 17 %; 7 % for small companies under EUR 300,000.

The rate says little without the base and the floor.

Sources: Act 595/2003 § 15 (slov-lex.sk); ET art. 240; PwC Worldwide Tax Summaries (Lithuania, Estonia, Hungary, 2026); RSM Poland (2026 threshold); Tax Foundation, Corporate Income Tax Rates in Europe 2026.

From accounting profit to tax payable

The same four steps in every country; only the numbers change

Accounting profit	+ Non-deductible expenses	− Prior tax losses	= Tax base	× Rate	Floor?
EUR 60,000	**EUR 5,000**	**EUR 0**	**EUR 65,000**	**9 % to 35 %**	**Minimum tax**
From the income statement	The manager's private trip	None in our case	The same in all countries	Set by each country	Does it bite?

Question 1 in every country

Which rate applies? It may depend on revenue (Slovakia, Poland, Lithuania) or on whether profit is distributed (Estonia, Latvia).

Question 2 in every country

Is there a floor, a minimum tax, that is higher than the computed tax? That is Part 3.

Slovakia: revenue decides the rate and the floor

Six revenue bands; Company A falls in the EUR 500,000 to 5 million band

Revenue (EUR)	Rate	Minimum tax
up to 50,000	10 %	340
50,000 to 100,000	10 %	960
100,000 to 250,000	21 %	960
250,000 to 500,000	21 %	1,920
500,000 to 5,000,000	**21 %**	**3,840**
above 5,000,000	24 %	11,520

The minimum tax is paid when the computed tax is lower, even with a loss. The excess over the computed tax can be credited in the next three years.

COMPANY A IN SLOVAKIA

Revenue	EUR 800,000
Band: rate	21 %
Band: minimum tax	**EUR 3,840**
Tax base	EUR 65,000
Computed tax: 65,000 × 21 %	**EUR 13,650**
13,650 > 3,840: the floor does not bite	
Tax payable	**EUR 13,650**

≈ COP 48.5 M · 22.8 % of accounting profit

Source: Act 595/2003 on income tax, § 15 and § 46b, version in force from 1.1.2026 (static.slov-lex.sk).

Czechia and Austria: one rate, small or no floor

Simple systems: base × rate, and in Austria a symbolic minimum

CZECHIA

Tax base	EUR 65,000
Rate	**21 %**
Computed tax	EUR 13,650
Minimum tax	none
Tax payable	**EUR 13,650**

No floor. Tax losses: carried forward 5 years, no cap.

AUSTRIA

Tax base	EUR 65,000
Rate	**23 %**
Computed tax	EUR 14,950
Minimum tax (GmbH)	EUR 500
Tax payable	**EUR 14,950**

Minimum EUR 500 for a GmbH, EUR 3,500 for an AG; paid with a loss and credited against later tax. Losses: no time limit, 75 % cap.

Sources: Czech Income Taxes Act (zakonyprolidi.cz); Austrian KStG § 22 and § 24 (ris.bka.gv.at); Tax Foundation 2026.

Poland and Hungary: low rates, a floor on revenue

Company A pays the least here, but both countries keep a revenue-based floor in reserve

POLAND

Revenue ≤ EUR 2 million?	yes: small taxpayer
Rate	**9 %**
Computed tax: 65,000 × 9 %	EUR 5,850
Minimum tax	exempt
Tax payable	**EUR 5,850**

Without the small-taxpayer status: 19 % = EUR 12,350. Minimum tax for others: 10 % of a base starting at 1.5 % of revenue, when there is a loss or a margin of 2 % or less.

HUNGARY

Rate	9 %
Minimum income: 2 % of revenue	EUR 16,000
Base 65,000 > 16,000	**no floor**
Computed tax: 65,000 × 9 %	EUR 5,850
Tax payable	**EUR 5,850**

If the base is below 2 % of revenue, the company pays 9 % on that minimum income or files an extra information return. Local business tax (up to 2 % of adjusted revenue) is separate and not shown.

Sources: Polish CIT Act art. 19 and 24ca; RSM Poland (2026 threshold PLN 8,431,000); MDDP (exemptions); PwC, Investing in Hungary 2026; PwC Worldwide Tax Summaries, Hungary.

Lithuania: 17 %, and a lighter rate for small companies

No floor at all; size, not revenue bands, decides the rate

COMPANY A IN LITHUANIA

Revenue	EUR 800,000
Small company (under EUR 300,000)?	no
Rate	**17 %**
Computed tax: 65,000 × 17 %	EUR 11,050
Minimum tax	none
Tax payable	**EUR 11,050**

What if Company A were small?

Revenue EUR 250,000, same base of EUR 65,000: 65,000 × 7 % = EUR 4,550. In its first two years: 0 %.

Rates in 2026

- 17 % standard rate, up from 16 % in 2025
- Small companies (revenue under EUR 300,000, with conditions): 0 % in the first two years, then 7 %

Source: PwC Worldwide Tax Summaries, Lithuania, Taxes on corporate income (2026).

Colombia: 35 %, and the 15 % floor stays asleep

The highest rate in the comparison; the minimum rate only wakes up with tax benefits

COMPANY A IN COLOMBIA

Taxable income (renta líquida gravable)	EUR 65,000
Rate (art. 240 ET)	**35 %**
Net income tax (INR)	EUR 22,750
Adjusted profit (UD)	EUR 65,000
Adjusted tax rate: 22,750 / 65,000	**35 % ≥ 15 %**
Top-up	EUR 0
Tax payable	**EUR 22,750**

≈ COP 80.8 M · 37.9 % of accounting profit

22,750

euro: the highest tax on Company A of all nine countries

When does the 15 % floor matter?

Only when exempt income or other benefits push the tax below 15 % of adjusted profit. We return to it in Part 3.

Source: Estatuto Tributario art. 240 and par. 6 (Ley 2277 de 2022), secretariasenado.gov.co. Sector surcharges not included.

SLIDO QUIZ · ROUND 1 OF 3

Taxing profit

Rates, revenue bands and the calculation for Company A in Slovakia, Czechia, Poland and Colombia

4 questions · 30 seconds each · faster correct answers score more points

Scan to join on Slido

Use the same nickname in all three rounds

Estonia: no tax until profit leaves the company

Tax = 22/78 of the net amount paid out: 22 % of the gross

Retain everything

Dividend EUR 0

5,000 × 22/78

EUR 1,410

Only the private trip is taxed

Pay the planned dividend

Dividend EUR 30,000

(30,000 + 5,000) × 22/78

EUR 9,872

Company A in our comparison

Pay out more

Dividend EUR 55,000

(55,000 + 5,000) × 22/78

EUR 16,923

The more it pays out, the more tax

Why 22/78? A gross distribution of 100 pays 22 of tax and leaves 78 for the shareholder: 22/78 × 78 = 22. Expenses unrelated to the business count as hidden distributions.

Source: Estonian Income Tax Act (Tulumaksuseadus) § 50-51, riigiteataja.ee; PwC Worldwide Tax Summaries, Estonia (2026).

Latvia: the Estonian model at 20/80

Adopted in 2018; for the accountant, the whole logic changes

COMPANY A IN LATVIA

Net dividend	EUR 30,000
Non-business expenses	EUR 5,000
Taxable distribution	**EUR 35,000**
× 20/80	= 25 %
Retained profit	not taxed
Tax payable	**EUR 8,750**

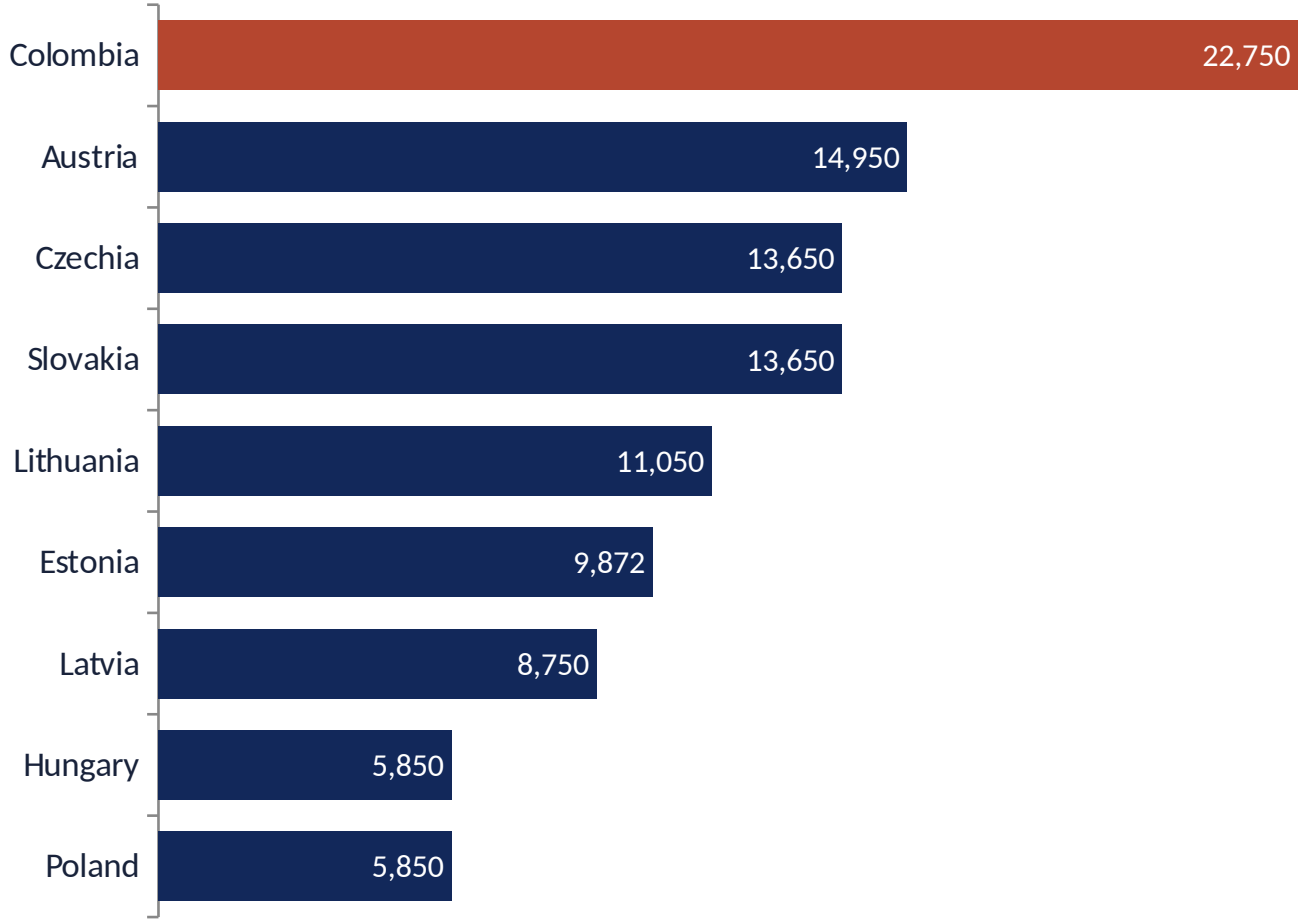
What changes for the accountant

1. **Accounting profit is no longer the base**
   The tax follows the cash paid to shareholders.
2. **No tax losses, no deferred tax**
   Nothing to carry forward, nothing to recognise in the company.
3. **Audits look for hidden distributions**
   Private expenses, benefits to shareholders, transfer prices.
4. **The incentive: retain and reinvest**
   The risk for the treasury: tax deferred without limit.

Source: Latvian Corporate Income Tax Act (Uzņēmumu ienākuma nodokļa likums), likumi.lv, rate 20/80 since 2018.

Company A in nine countries

The same profit costs almost four times more in Colombia than in Poland or Hungary



Country	Rate	Tax / profit
Poland	9 %	9.8 %
Hungary	9 %	9.8 %
Latvia	20/80 *	14.6 %
Estonia	22/78 *	16.5 %
Lithuania	17 %	18.4 %
Slovakia	21 %	22.8 %
Czechia	21 %	22.8 %
Austria	23 %	24.9 %
Colombia	**35 %**	**37.9 %**

Tax / profit: company tax divided by accounting profit of EUR 60,000. * On EUR 35,000 distributed.

SLIDO QUIZ · ROUND 2 OF 3

Taxing distributions

Estonia and Latvia, the 22/78 arithmetic, and the comparison of Company A across the nine countries

4 questions · 30 seconds each · faster correct answers score more points

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What happens with a loss? Six answers

A minimum tax is a floor: the company pays something even when its base is zero

1 Fixed amount

An amount set by revenue or legal form, paid even with a loss.

Slovakia · Austria

2 Percentage of revenue

Applies when profit is low or negative.

Poland · Hungary

3 Percentage of net equity

A minimum income presumed on equity.

Colombia: renta presuntiva, 0 % since 2021

4 15 % effective rate

Tax cannot fall below 15 % of adjusted profit; nothing with a loss.

Colombia: TTD since 2023 · Pillar Two

– No floor

A loss means no tax; losses carry forward.

Czechia · Lithuania

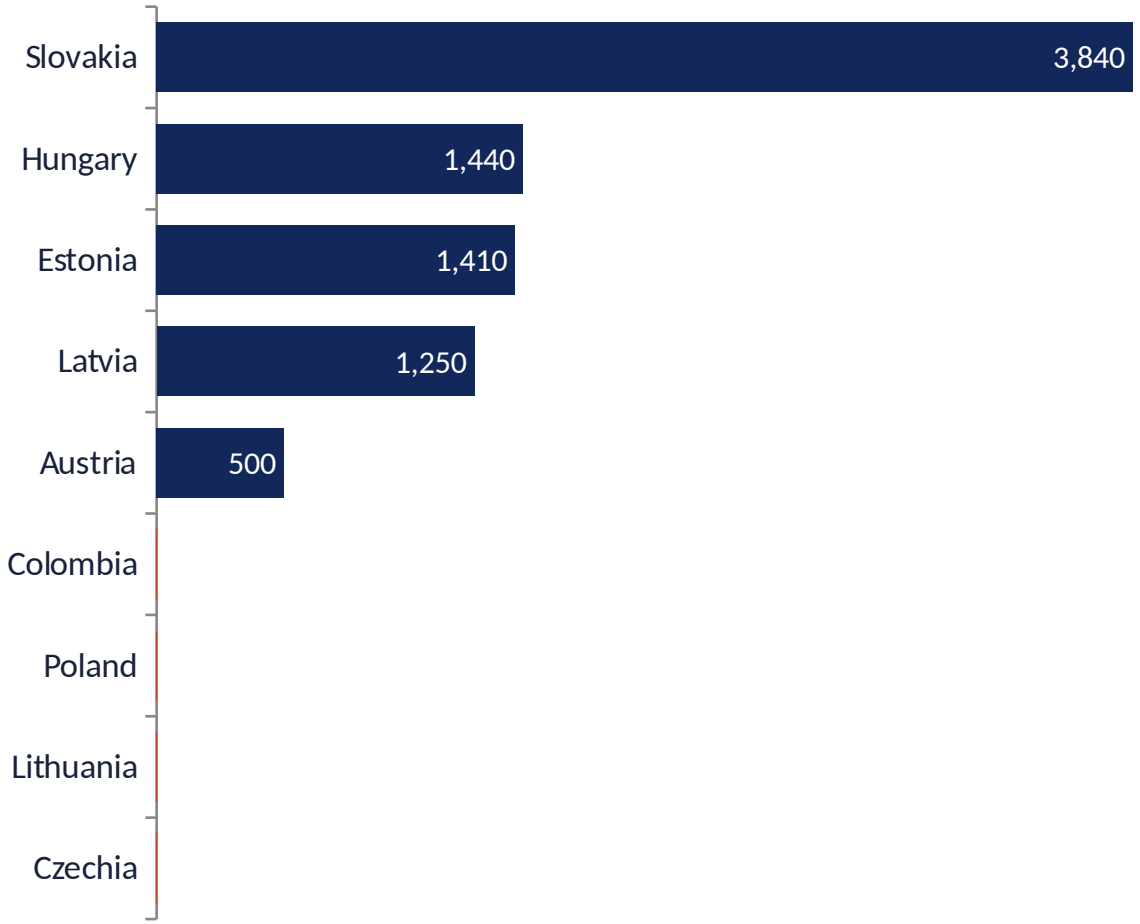
VS Tax distributions instead

No profit tax at all, so a loss changes nothing.

Estonia · Latvia

Case B: Company A makes a loss of EUR 10,000

Same revenue, same private trip, no dividend: five countries still collect tax



Slovakia · EUR 3,840

The fixed minimum of its revenue band

Hungary · EUR 1,440

9 % × 2 % of revenue; avoidable with the information return

Estonia 1,410 · Latvia 1,250

Tax on the private trip, a hidden distribution

Austria · EUR 500

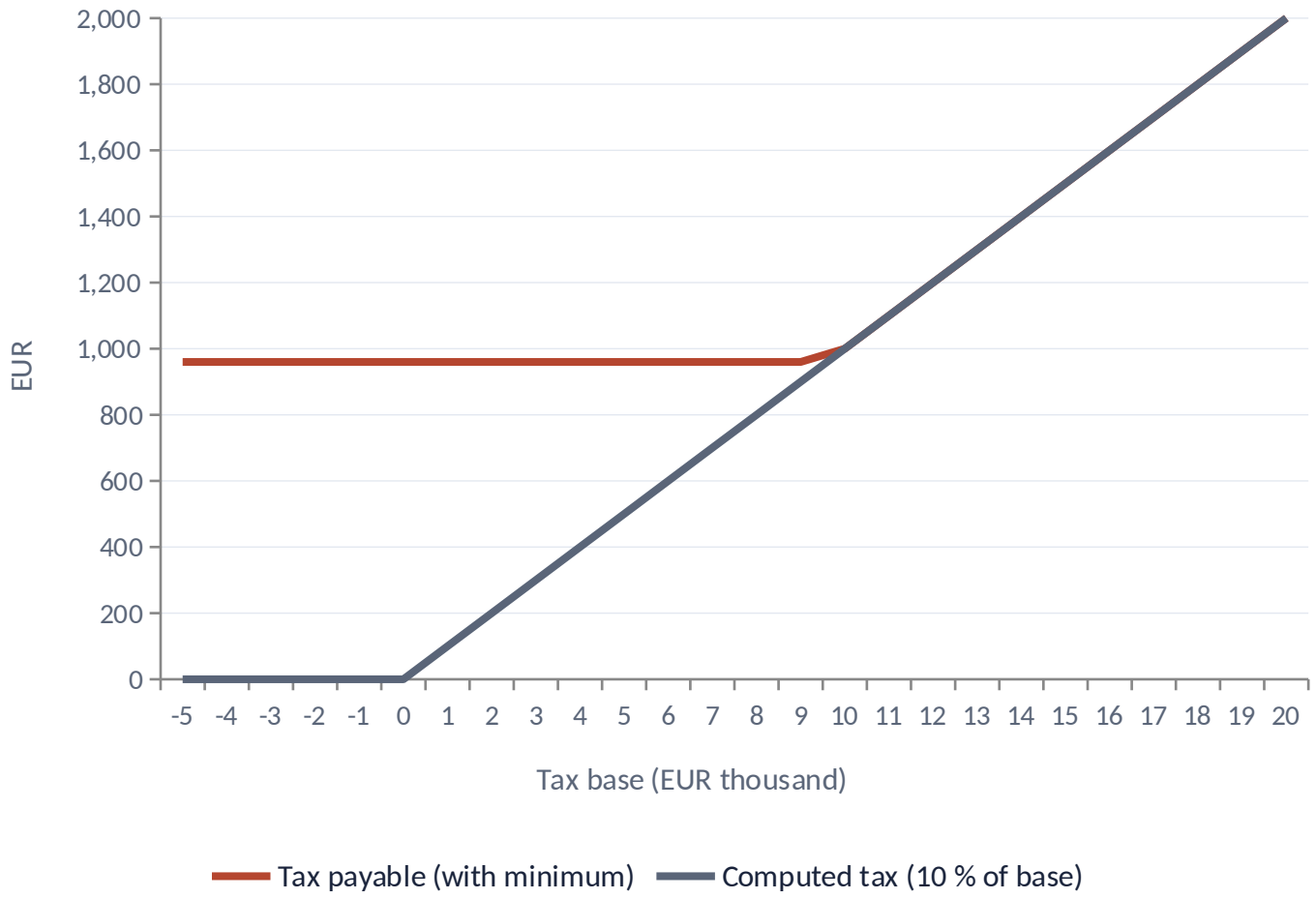
Minimum for a GmbH, credited later

Zero: Czechia, Lithuania, Poland, Colombia

No floor; Poland exempts small taxpayers; in Colombia adjusted profit ≤ 0 and presumptive income is 0 %

Why a floor changes the profit companies report

A Slovak manager with revenue of EUR 80,000: rate 10 %, minimum EUR 960



Loss of EUR 5,000

Pays EUR 960

Profit of EUR 5,000

Computed 500, pays 960: the same as with the loss

Base of EUR 9,600

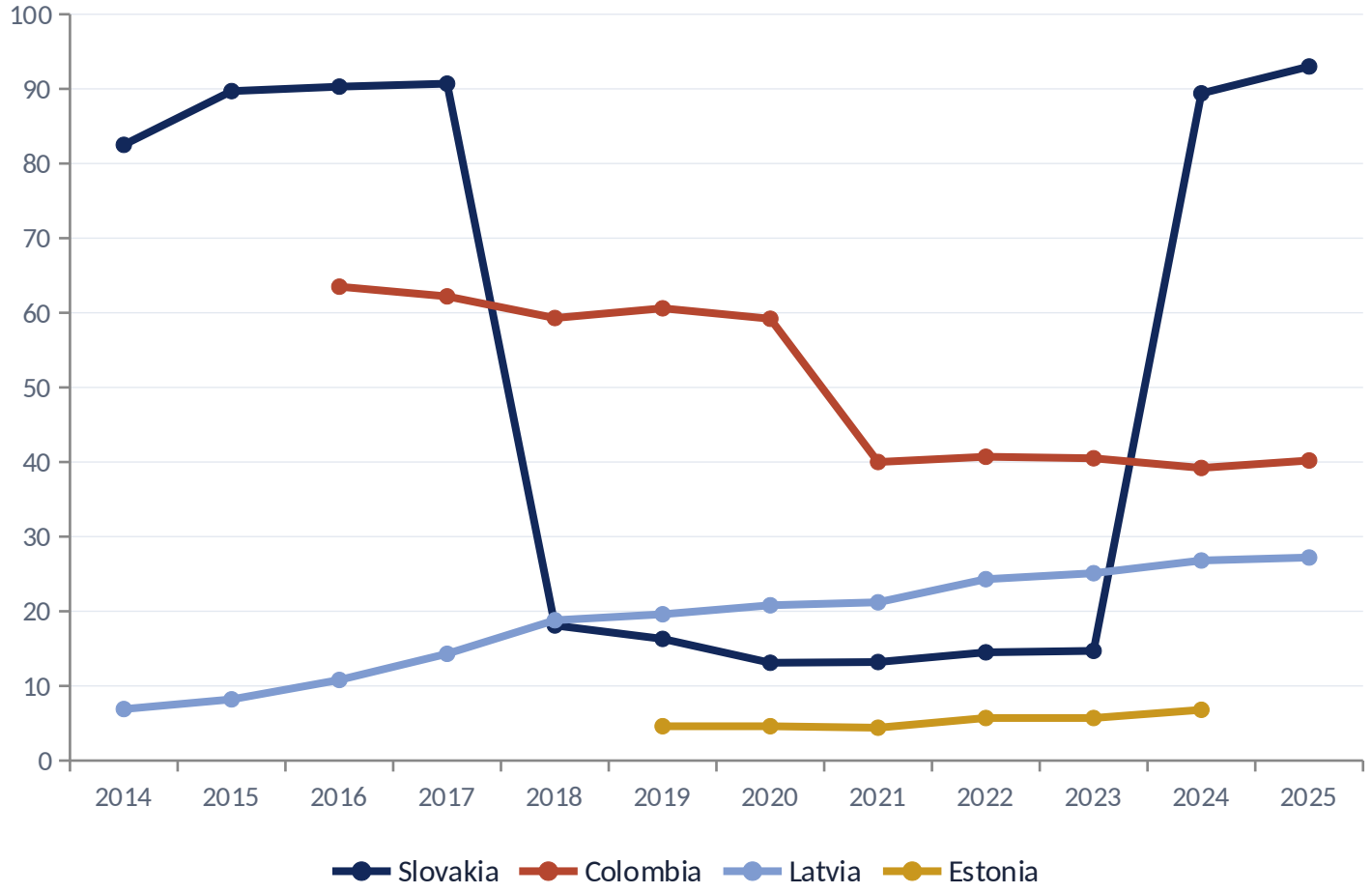
Computed tax = minimum: end of the zero-cost zone

Base of EUR 15,000

Pays EUR 1,500: the normal rate

The law leaves its footprint in the financial statements

Share of companies with a pre-tax loss that still record income tax, %



91 % → 18 % → 89 %

Slovakia 2017 → 2018 → 2024: the minimum disappears and returns

3.6 % → 6.9 %

Median return on assets of the same Slovak micro-companies, 2023 → 2024

60 % → 40 %

Colombia, when renta presuntiva fell to 0 % in 2021

Source: own calculation on harmonised financial statements (Slovakia registeruz.sk; Colombia Supersociedades, IFRS; Latvia data.gov.lv; Estonia RIK); doi.org/10.5281/zenodo.23328853. Descriptive, not causal.

The Colombian floor in numbers

When a tax benefit pushes the tax below 15 % of adjusted profit

COP million	Amount
Accounting profit before tax	1,000
+ Non-deductible expenses	50
− Benefit the formula does not deduct (exempt income or special deduction)	700
= Taxable income	**350**
Tax at 35 % (ID)	122.5
Adjusted profit (UD) = 1,000 + 50	1,050
Adjusted tax rate = 122.5 / 1,050	**11.7 %**
Top-up = 1,050 × 15 % − 122.5	35.0
Total tax	**157.5**

Source: Estatuto Tributario art. 240 par. 6 (Ley 2277 de 2022); Consejo de Estado, exp. 28920, 23.7.2026. Stylised example.

The idea

Benefits are allowed, but the tax cannot fall below 15 % of a profit that starts from the accounts.

Unlike Slovakia, if adjusted profit is zero or negative, nothing is paid: it hits companies using benefits, not loss-makers.

Formula: TTD = ID / UD (art. 240 par. 6 ET).

SLIDO QUIZ · ROUND 3 OF 3

Minimum taxes

Case B with a loss, the floor designs, the Slovak zero-cost zone and the footprint in the data. Then the winner.

4 questions · 30 seconds each · faster correct answers score more points

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What to remember

Five lessons for the accountant

1	**A rate is not a tax**	The base, the floor and the treatment of distributions decide what the company pays.
2	**Three ways to tax a company**	Tax profit (most countries), tax distributions (Estonia, Latvia), or add a floor on top.
3	**Floors bite different companies**	A fixed amount hits small and loss-making companies; the Colombian TTD hits companies using benefits.
4	**With a floor, a loss stops saving tax**	Inside the zero-cost zone, reporting a profit costs nothing, so reported profit changes.
5	**Plan and read with the rules alongside**	Project the floor mid-year; track credits (Slovakia 3 years) and losses (Slovakia 5, Colombia 12).

Practice: 60 minutes in the app

In pairs, on a laptop; the app checks your answers

Task 1 · 20 min	**Journal**	Book the year of Comercializadora Andina S.A.S. with PUC accounts and find its profit before tax.
Task 2 · 20 min	**From profit to tax**	Compute the Colombian and Slovak tax on the same profit; then add a bad debt and see which changes.
Task 3 · 15 min	**Nine countries**	Compute Company A by hand for Slovakia, Poland, Estonia and Colombia; find who still taxes case B.
5 min	**Feedback**	One Slido rating for the whole session.

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Open the Practice tab. English or Spanish.
Your work stays in your browser.

Thank you!

Rate the whole session on Slido: lecture and practice

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Slido: rate the session

The app stays online: use it to study

Annex: the nine countries in one table (2026 rules)

Company level only; detail and sources also in the app, tab Learn

Country	Rate	Floor	Payable with a loss?	Loss carry-forward
Slovakia	10 / 21 / 24 % by revenue	Fixed: EUR 340 to 11,520 by revenue; credit 3 years	Yes	5 years, 50 % cap (micro: no cap)
Czechia	21 %	None	No	5 years, no cap
Austria	23 %	EUR 500 (GmbH) / 3,500 (AG), creditable	Yes	No time limit, 75 % cap
Poland	19 %; 9 % small taxpayer (≤ EUR 2 M)	10 % of minimum base with loss or margin ≤ 2 %; small taxpayers exempt	Yes, unless exempt	5 years, 50 % per year
Hungary	9 %	9 % on 2 % of revenue, or information return	Yes, avoidable	5 years, 50 %
Lithuania	17 %; small: 0 % then 7 %	None	No	No time limit, 70 % cap
Estonia	22/78 of distributions	None; non-business expenses taxed	Only on distributions	No tax losses
Latvia	20/80 of distributions	None; non-business expenses taxed	Only on distributions	No tax losses
Colombia	35 %	15 % adjusted tax rate (TTD); presumptive income 0 %	No, if UD ≤ 0	12 periods, no cap

Sources: slov-lex.sk (Act 595/2003, 1.1.2026); ET arts. 147, 188, 240; PwC Worldwide Tax Summaries (LT, EE, HU, 2026); RSM and MDDP (PL); zakonyprolidi.cz; ris.bka.gv.at; likumi.lv; riigiteataja.ee; Tax Foundation 2026.